WELLS FARGO

Price Target Change — August 29, 2024

Semiconductors

Nvidia Corporation (NVDA)

Reaffirmed Confidence in Blackwell Cycle Ahead (Ship in F4Q25); Highlight Inventory + Purchase Commits Expansion

Our Call

We find it hard to see the negatives in NVDA's F2Q25 print, F3Q25 guide, and / or forward-looking *Blackwell* cycle comments. We raise estimates (increased confidence in path to +$5/sh. EPS) and reit. OW rating w/ $165 PT — Buy pullback.

Most Incremental (See Result Details Below):

- **Data Center - Positive *Blackwell* Cycle Comments:** NVDA noted an executed change to the *Blackwell* GPU mask (note: this is not CoWoS-S vs. CoWoS-L related) to improve production yield; reaffirmed expectation of production ship (revenue) in F4Q25 — we see this as an incremental positive w/ as-expected robust forward demand comments.
- **Purchase Commits + Inventory (+Forward Indicator):** NVDA's Inventory + Purchase Commits + Excess Inventory POs @ ~$36.5B exiting F2Q25, +$10.2B q/q — an absolute increase that is ~50% higher than the prior peak q/q increase seen in F3Q24. Purchase Commits @ $27.8B vs $18.8B exit F1Q25.
- ***Spectrum X* Ethernet:** *Spectrum-X* +2x q/q (note: volume ship commenced F2Q25) w/ 100s of customers; reit path to '*a multi-billion dollar product line w/in a year.*' Reminder: ANET AI fabric rev tgt at $750M in '25.
- **Software Monetization:** NVDA expects software to grow to $2B/annum by FYE (vs $1B/annum exit FY24); positive comments on AI Enterprise adoption, and we would again highlight NVDA's Multi-Yr Cloud Svcs Agreement expansion — $9.8B vs. $8.8B exit F1Q25; $3.5B exit FY24. Deferred revenue expansion should also be considered a leading indicator.
- **China:** China H20 uptick a noted growth driver; we estimate China Data Center contribution in the high single-digit % range, but up from prior mid-SD% range.

F3Q25 Guide: NVIDIA is guiding F3Q25 rev at $32.5B +/- 2%, GM% at ~75% +/- 50bps, and ~$3.0B opex ahead of prior Street (*VisibleAlpha*) at ~$31.9B / 75.3% / $3.0B. With an OI&E at ~$350M and a 17% (+/- 1%) tax rate, we arrive at an implied F3Q25 non-GAAP EPS at ~$0.70-$0.76 vs. prior Street at $0.72. NVIDIA expects sequential growth across all platforms/segments. **FY25:** NVDA reiterated mid-70% GM% guide; now expects opex to grow in mid / high-40% y/y range (vs. prior *low-40%* y/y guide).

Increase Forward Top / Bottom-Line Estimates; Expect Increased +Sentiment on Path to +$5/sh EPS: We adjust our FY25, FY26, and FY27 rev / EPS ests from $119.1 / $2.69, $175.6 / $4.00 and $211.9B / $4.85to **$125.3B / $2.84, $187.4B / $4.24,** & **$222.8B / $5.05,** respectively. W/ these estimate increases we move our PT to $165 (was $155) w/ 33x P/E on FY27 (CY26) EPS - vs. ~41.5x 3-yr. median NTM P/E. **See Segment Summaries Below.**

Signature Picks ✓

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Rating	Overweight
Ticker	NVDA
Price Target/Prior:	$165.00/$155.00
Upside/(Downside) to Target	**31.4%**
Price (08/28/2024)	**$125.61**
52 Week Range	$39.23 - 140.76
Shares Outstanding (MM)	24,600
Market Cap (MM)	$3,090,006
Enterprise Value (MM)	$3,063,667
Average Daily Volume	361,828,220
Average Daily Value (MM)	$45,449
Dividend (NTM)	$0.04
Dividend Yield	0.0%
Net Debt (MM) - last reported	$(26,339)
ROIC - Current year est.	91%
3 Yr EPS CAGR from current year (unless otherwise noted)	35%

$ EPS	2024A	2025E Curr.	2025E Prior	2026E Curr.	2026E Prior
Q1 (Apr)	0.11 A	0.61 A	NC	0.93 E	0.87E
Q2 (Jul)	0.27 A	0.68 A	0.63E	1.02 E	0.96E
Q3 (Oct)	0.40 A	0.73 E	0.68E	1.09 E	1.03E
Q4 (Jan)	0.52 A	0.82 E	0.77E	1.20 E	1.13E
FY	1.30 A	2.84 E	2.69E	4.24 E	4.00E
P/E	96.9x	44.2x		29.6x	

Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NC = No Change, NE = No Estimate

Wells Fargo Express Takeaways

Nvidia Corporation (NVDA) | Rating: Overweight | Price Target: $165.00
Analyst: Aaron Rakers

Financials

FY (Jan) $ ESTIMATES	2024A	2025E	2026E
EPS			
Q1	0.11 A	0.61 A	0.93 E
Q2	0.27 A	0.68 A	1.02 E
Q3	0.40 A	0.73 E	1.09 E
Q4	0.52 A	0.82 E	1.20 E
AN	1.30 A	2.84 E	4.24 E
Rev. (MM)	60,922.0 A	125,299.9 E	187,381.6 E
EBIT (MM)	37,134.0 A	83,607.4 E	124,628.6 E
EBITDA (MM)	38.64B A	85.48B E	127.09B E
FCF (MM)	26,999.0 A	67,354.1 E	100,395.9 E

WELLS FARGO vs. CONSENSUS			
Consensus Estimate	1.30 A	2.76 E	3.89 E
Difference from Consensus		3.2%	9.0%

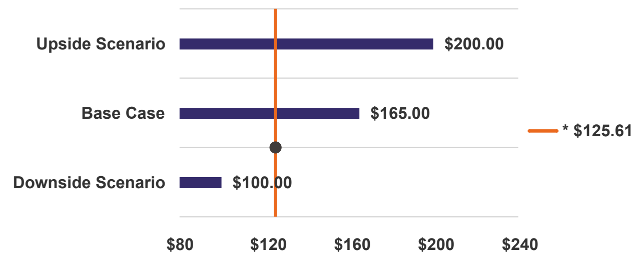
VALUATION			
P/E	96.9x	44.2x	29.6x
EV/Revenue	50.3x	24.5x	16.3x
EV/EBIT	82.5x	36.6x	24.6x
EV/EBITDA	79.3x	35.8x	24.1x
EV/FCF	NM	45.5x	30.5x
FCF Yield	4.9%	12.3%	18.3%

Consensus Estimate: Consensus EPS Estimate; Source: VisibleAlpha
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

Our Overweight rating is based on our positive stance on NVIDIA's competitive positioning in gaming GPUs and expanding growth opportunities in data center, HPC, and emerging / expanding AI opportunities (autonomous vehicles, healthcare, robotics, etc.). We see sustainability in NVIDIA's CUDA software platform differentiation, as well as the company's continually deepening system software capabilities. We see NVIDIA as one of the most attractive secular growth stories in large-cap semis.

Risk vs. Reward – Upside/Downside Price Target Scenarios



**As of 08/28/24*
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | $165.00

Our $165 price target is ~33x P/E on our C2026E. We think a premium multiple for NVIDIA is warranted given its strong multi-year competitive positioning for data center growth, driven by cloud and AI, gaming, next-generation autonomous vehicles, and an expanding ecosystem of products/ applications (e.g., Omniverse).

Upside Scenario | $200.00

We see a $200 upside scenario, driven by 2026 earnings upside into the ~$5.50+ area w/ maintained mid-30x P/E. Specifically, we think this could be fueled by greater-than-expected datacenter/AI GPU demand (i.e., still in very early innings) as enterprises find new AI use cases to justify spend as well as continued market share dominance. Other products/verticals such as Automotive and Omniverse could offer additional upside support.

Downside Scenario | $100.00

We see a $100 downside scenario, driven by a growth / earnings momentum slowdown as customers digest significant datacenter GPU investments, leading investor sentiment to turn negative in the near term. In addition, competitive pressure from AMD in the datacenter GPU market that leads to market share losses would be a negative.

Upcoming Catalysts

- Cloud results and capex from AWS, GCP, Azure, etc.

Company Description

Nvidia is a fabless semiconductor manufacturer focused on graphics chips. The company sells GeForce graphics products to the entertainment and consumer market, Quadro graphics products to the professional design market, Tesla computing solutions to the high-performance computing market, and Tegra chip products to the mobile applications processor market.

NVIDIA Estimate Summary:
$ in Millions; Expect per Share

	F2Q25 (Jul. '24)			F3Q25E (Oct. '24)			F4Q25E (Jan. '25)			F2025E (C2024)			F2026E (C2025)			F2027E (C2026)		
	WFS Est.	WFS Prior	Street	WFS Est.	WFS Prior	Street	WFS Est.	WFS Prior	Street	WFS Est.	WFS Prior	Street	WFS Est.	WFS Prior	Street	WFS Est.	WFS Prior	Street
Gaming	**$2,880**	**$2,859**	**$2,783**	**$2,938**	**$2,916**	**$3,042**	**$2,938**	**$2,916**	**$2,996**	**$11,402**	**$11,338**	**$11,475**	**$11,978**	**$11,890**	**$12,285**	**$12,201**	**$12,111**	**$13,301**
- Y/Y % Chg.	15.8%	15.0%	12.0%	2.9%	2.1%	6.5%	2.5%	1.8%	4.6%	9.1%	8.5%	9.8%	5.1%	4.9%	7.1%	1.9%	1.9%	8.3%
- Q/Q % Chg.	8.8%	8.0%	5.2%	2.0%	2.0%	9.3%	0.0%	0.0%	(1.5%)									
- % of Total Revenue	9.6%	10.1%	9.7%	9.0%	9.8%	9.5%	8.1%	8.8%	8.6%	9.1%	9.6%	9.4%	6.4%	7.7%	7.2%	5.5%	6.6%	6.6%
Data Center	**$26,272**	**$24,594**	**$25,165**	**$28,939**	**$26,069**	**$27,984**	**$32,477**	**$29,328**	**$31,046**	**$110,251**	**$102,554**	**$106,728**	**$170,763**	**$137,101**	**$157,616**	**$204,078**	**$164,644**	**$190,815**
- Y/Y % Chg.	154.5%	138.2%	143.8%	99.4%	79.6%	92.8%	76.5%	59.4%	68.7%	132.0%	115.8%	124.6%	54.9%	33.7%	47.7%	19.5%	20.1%	21.1%
- Q/Q % Chg.	16.4%	9.0%	11.5%	10.2%	6.0%	11.2%	12.2%	12.5%	10.9%									
- % of Total Revenue	87.5%	86.8%	87.3%	88.2%	87.2%	87.8%	89.2%	88.2%	88.9%	88.0%	87.3%	87.7%	91.1%	89.2%	92.1%	91.6%	89.7%	94.7%
Professional Visualization	**$454**	**$448**	**$446**	**$465**	**$439**	**$471**	**$503**	**$475**	**$488**	**$1,849**	**$1,789**	**$1,837**	**$2,067**	**$1,952**	**$2,093**	**$2,216**	**$2,093**	**$2,409**
- Y/Y % Chg.	19.8%	18.3%	17.8%	11.9%	5.6%	13.2%	8.5%	2.5%	5.3%	19.1%	15.2%	18.3%	11.8%	9.1%	13.9%	7.2%	7.2%	15.1%
- Q/Q % Chg.	6.3%	5.0%	4.5%	2.5%	(2.0%)	5.5%	8.0%	8.0%	3.5%									
- % of Total Revenue	1.5%	1.6%	1.5%	1.4%	1.5%	1.5%	1.4%	1.4%	1.4%	1.5%	$0	1.5%	1.1%	$0	1.2%	1.0%	$0	1.2%
Automotive	**$346**	**$345**	**$350**	**$363**	**$397**	**$379**	**$407**	**$445**	**$411**	**$1,445**	**$1,517**	**$1,472**	**$2,193**	**$2,399**	**$2,028**	**$3,871**	**$4,233**	**$2,715**
- Y/Y % Chg.	36.8%	36.5%	38.4%	39.2%	52.2%	45.1%	44.8%	58.3%	46.4%	32.5%	39.0%	34.9%	51.8%	58.1%	37.8%	76.5%	76.5%	33.9%
- Q/Q % Chg.	5.2%	5.0%	6.4%	5.0%	15.0%	8.2%	12.0%	12.0%	8.6%									
- % of Total Revenue	1.2%	1.2%	1.2%	1.1%	1.3%	1.2%	1.1%	1.3%	1.2%	1.2%	$0	1.2%	1.2%	$0	1.2%	1.7%	$0	1.3%
OEM & Other	**$88**	**$82**	**$78**	**$90**	**$84**	**$81**	**$97**	**$90**	**$84**	**$353**	**$334**	**$322**	**$380**	**$353**	**$347**	**$397**	**$370**	**$382**
- Y/Y % Chg.	33.3%	24.1%	18.9%	23.0%	14.4%	0.1103877	7.7%	0.2%	(7.0%)	15.3%	9.0%	5.2%	7.6%	5.9%	7.7%	4.7%	4.7%	10.3%
- Q/Q % Chg.	12.8%	5.0%	0.6%	2.0%	2.0%	3.3%	8.0%	8.0%	3.3%									
- % of Total Revenue	0.3%	0.3%	0.3%	0.3%	0.3%	0.3%	0.3%	0.3%	0.2%	0.3%	0.3%	0.3%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%
TOTAL REVENUE	**$30,040**	**$28,328**	**$28,812**	**$32,795**	**$29,905**	**$31,887**	**$36,421**	**$33,254**	**$34,916**	**$125,300**	**$117,531**	**$121,658**	**$187,382**	**$153,695**	**$171,106**	**$222,764**	**$183,451**	**$201,463**
- Y/Y % Chg.	122.4%	109.7%	113.3%	81.0%	65.0%	76.0%	64.8%	50.4%	58.0%	105.7%	92.9%	99.7%	49.5%	30.8%	40.6%	18.9%	19.4%	17.7%
- Q/Q % Chg.	15.3%	8.8%	10.6%	9.2%	5.6%	10.7%	11.1%	11.2%	9.5%									
Gross Income	$22,729	$21,416	$21,745	$24,662	$22,429	$24,020	$27,316	$24,940	$26,267	$95,266	$89,345	$92,587	$141,429	$116,177	$127,691	$168,051	$138,787	$147,097
- Gross Margin	75.7%	75.6%	75.5%	75.2%	75.0%	75.3%	75.0%	75.0%	75.2%	76.0%	76.0%	76.1%	75.5%	75.6%	74.6%	75.4%	75.7%	73.0%
Research & Development	$2,241	$2,224	$2,223	$2,460	$2,318	$2,338	$2,713	$2,461	$2,444	$9,395	$8,983	$8,975	$13,787	$11,628	$11,535	$16,616	$13,897	$14,291
Sales, General & Administrative	$551	$581	$594	$574	$598	$632	$619	$599	$663	$2,264	$2,297	$2,425	$3,013	$3,212	$3,100	$3,585	$3,788	$3,675
Total Operating Expenses	**$2,792**	**$2,804**	**$2,824**	**$3,034**	**$2,916**	**$2,995**	**$3,333**	**$3,059**	**$3,159**	**$11,659**	**$11,281**	**$11,479**	**$16,801**	**$14,840**	**$15,018**	**$20,201**	**$17,685**	**$18,740**
- % of Revenue	9.3%	9.9%	9.8%	9.3%	9.8%	9.4%	9.2%	9.2%	9.0%	9.3%	9.6%	9.4%	9.0%	9.7%	8.8%	9.1%	9.6%	9.3%
Operating Income	**$19,937**	**$18,612**	**$18,984**	**$21,628**	**$19,513**	**$21,059**	**$23,983**	**$21,881**	**$23,152**	**$83,607**	**$78,065**	**$81,236**	**$124,629**	**$101,337**	**$114,055**	**$147,850**	**$121,102**	**$132,563**
- Operating Margin	**66.4%**	**65.7%**	**65.9%**	**66.0%**	**65.3%**	**66.0%**	**65.9%**	**65.8%**	**66.3%**	**66.7%**	**66.4%**	**66.8%**	**66.5%**	**65.9%**	**66.7%**	**66.4%**	**66.0%**	**65.8%**
Other Income (Expense)	$380	$300	$302	$350	$305	$315	$365	$310	$334	$1,397	$1,217	$1,256	$1,490	$1,319	$1,672	$1,575	$1,380	$2,401
Pre-Tax Income	$20,317	$18,912	$19,247	$21,978	$19,818	$21,378	$24,348	$22,191	$23,478	$85,004	$79,282	$82,460	$126,119	$102,656	$114,114	$149,425	$122,482	$131,543
Tax Rate	16.6%	17.0%	8.9%	17.0%	17.0%	8.0%	17.0%	17.0%	9.1%	16.9%	17.0%	16.9%	17.0%	17.0%	12.2%	17.0%	17.0%	10.6%
Net Income	**$16,952**	**$15,697**	**$16,032**	**$18,242**	**$16,449**	**$17,765**	**$20,209**	**$18,418**	**$19,524**	**$70,641**	**$65,802**	**$68,567**	**$104,678**	**$85,204**	**$96,344**	**$124,023**	**$101,660**	**$112,577**
Non-GAAP EPS	**$0.68**	**$0.63**	**$0.65**	**$0.73**	**$0.66**	**$0.72**	**$0.82**	**$0.74**	**$0.79**	**$2.84**	**$2.65**	**$2.76**	**$4.24**	**$3.45**	**$3.89**	**$5.05**	**$4.14**	**$4.58**
Fully Diluted Shares	24,848	24,850	24,852	24,820	24,820	24,837	24,780	24,780	24,820	24,835	24,835	24,864	24,700	24,700	24,768	24,560	24,560	24,593

Source: Visible Alpha; Wells Fargo Securities,LLC Estimates

F2Q25 Results Summary: NVIDIA reported F2Q25 rev. / non-GAAP EPS at $30.04B / $0.68 vs. our prior $28.328B / $0.63 est. (Street: $28.812B / $0.65); prior rev. guide at $28B (+/-2%). Reported GM% at 75.7% vs. our 75.6% est. & ~75.5% +/- 50bps guide; opex at $2.79B in-line w/ ~$2.8B guide. F2Q25 FCF totaled $13.48B; capex at $977M.

SEGMENT RESULTS:

DATACENTER: Rev at $26.3B (+155% y/y; +17% q/q) vs. our $24.6B estimate (Street: $25.165B); ~5% upside vs. +13%, +6%, & +6% in F3Q24, F4Q24, F1Q25, respectively. We had previewed an upside *bogey* into the $26-$27B+ range. **Compute** revenue at $22.6B was +161% y/y and +17% q/q vs. +478% y/y and +29% q/q in F1Q25. This reflected strong demand for the H200 **Networking** revenue at $3.67B was +119% y/y and +16% q/q in F2Q25 vs. +242% y/y and -5% q/q in F1Q25. A few incremental comments / data points include:

- NVDA noted that a mask change on *Blackwell* in order to improve production yields will result in initial shipments commencing in F4Q25; demand is expected to outstrip supply.
- NVDA reported that Cloud Service Providers (CSP) accounted for ~45% of total Data Center revenue — unchanged from the prior quarter. As reported above, the company's 10-Q does disclose that one customer accounted for 17% of total F2Q25 revenue and ~13% of total 1HFY25 revenue — implying an ~8% contribution in F1Q25, or a >130% q/q increase in revenue contribution. *Hopper* H200 GPU shipments comments to large CSPs during F2Q24; demand commentary was positive.
- China revenue (i.e., H20-driven) was noted as a '*significant contributor*' to F2Q25 Data Center growth; NVDA only qualitatively noting that China was a lower % of total Data Center revenue relative to pre-export control levels. As a reminder, in the F4Q24 (Jan '24) quarter NVDA had reported that China accounted a mid single-digit contribution to Data Center revenue; down from a 20%-25% contribution prior to export controls.
- NVDA reported that AI inferencing accounted for an estimated ~40% contribution in total Data Center for the trailing twelve-months ending F2Q25 — consistent with prior disclosures.
- In Networking NVDA emphasized their *Spectrum-X* traction with noted sales growing 2x q/q — albeit we would note that the *Spectrum-X* volume ramp just commenced during F2Q25. NVDA reiterated its prior expectation that *Spectrum-X* in on track to become a *multi-billion* revenue

contribution within this year; reporting that it has *hundreds* of customers. The company also specifically called out xAI as a large-scale *Spectrum-X* customer — consistent with our checks.

- Sovereign AI opportunities continue to ramp — now estimating that these opportunities will ramp to a low double-digit billion contribution in this year, an increase from the prior high single-digit billion expectation noted last quarter.

GAMING: F2Q25 reported Gaming segment revenue at $2.880 billion (+16% y/y and +9% q/q), roughly in-line w/ our $2.859 billion estimate (Street: $2.783B). Gaming Channel inventory remains *healthy.* NVDA re-highlighted their positive expectations for AI PCs with +200 RTX AI laptop designs from leading PC manufacturing partners and 600+ AI-powered applications + games in the market. RTX-powered PCs have a 100 million installed base.

AUTOMOTIVE: NVIDIA reported F2Q25 Auto rev. at $346M (+37% y/y and +5% q/q) vs. our $345M est. (Street: $350M). NVDA pointed to positive demand for self-driving platforms and AI-enabled cockpit solutions. NVIDIA's DRIVE platform positioning at Mercedes-Benz and Jaguar Land Rover remains the key potential inflection drivers of NVIDIA's automotive segment looking into 2025+. As a reminder, last quarter NVDA highlighted their partnership with Xiaomi's initial EV launch — the SU7 sedan using the NVIDIA DRIVE Orin SoCs. NVIDIA noted that DRIVE *Thor* (based on the *Blackwell* architecture) is set to be in production vehicles starting next year.

PROFESSION VISUALIZATION: NVIDIA reported F2Q25 Professional Visualization revenue at $454M (+20% y/y and +6% q/q) vs. our $448M est. (Street: $446M). NVIDIA continues to see generative AI and Omniverse as drivers the next leg of growth for ProVis. Automotive and manufacturing verticals were highlighted as key growth verticals - e.g., Foxconn, Mercedes-Benz, WPP, etc.

OEM & OTHER: Revenue of $88M (+33% y/y; +13% q/q) vs. our $82M est. (Street: $78M).

SOFTWARE MONETIZATION — ACCELERATING TO NEXT LEVEL ($2B/annum)? NVIDIA reported that it now sees software-only contributions expanding to $2B/annum by the end of the year — an increase from the $1B/annum level reported exiting FY24. We continue to think software momentum represents a material incremental growth / platform driver — most notably NVIDIA's AI Enterprise software adoption ($4,500 per GPU per year; on-premise or via public cloud partners).

We continue to focus on / question two metrics as representing forward indicators for NVIDIA's inflecting software monetization:

1. Deferred Revenue: NVDA's 10-Q discloses that Deferred Revenue totaled $1.721 billion exiting F2Q25, an increase from $1.549 billion exiting the prior quarter, $1.337 billion exiting FY24 and $729 million exiting the year ago quarter.

2. Multi-Year Cloud Services Agreements: NVIDIA notes that these cloud agreements are used to support both NVIDIA's R&D efforts and DGX Cloud offerings — the latter reflecting software monetization (e.g., NVDA paying for cloud capacity to run enterprise adoption of AI Enterprise software). NVDA exited F2Q25 with a Multi-Year Cloud Services Agreement balance expanding to $9.8 billion, up from $8.8 billion exiting F1Q25 and $3.5 billion exiting FY24

BALANCE SHEET & CASH FLOW METRICS:

Inventory: NVIDIA exited F2Q25 with $6.675 billion in total inventory, up from $5.864 billion exiting the prior quarter. Days of inventory stood at 78 vs. 95 in the prior quarter.

Purchase Commitments: NVIDIA reported that it exited F2Q25 with a Purchase Commitment + Obligations for Inventory & Manufacturing Capacity balance totaling $27.8 billion vs. $18.8 billion exiting F1Q25. Additionally, the company reported that it exited the quarter with a Prepaid Supply Agreement balance totaling $4.7B vs. $5.6B exiting the prior quarter. As a reminder, NVIDIA's 10-Q / K filings also disclose Excess Inventory Purchase Obligations (w/in Accrued & Other Current Liabilities) — this balance stood at $2.051 billion exiting F2Q25 vs. $1.68 billion exiting F1Q25.

Total Inventory + Purchase Commitments + Excess Inventory Purchase Obligations grew to $36.526 billion exiting F2Q25, +39% q/q and +124% y/y. The ~$10.2 billion q/q increase is nearly 50% higher than the prior peak q/q increrase at $6.8 billion seen in F3Q24.

Free Cash Flow. NVIDIA generated $13.512 billion in Free Cash Flow during F2Q25, or ~$0.54/sh. This compares to $14.976 billion and $6.059 billion in the prior and year ago quarters, respectively. NVIDIA's trailing twelve-month FCF stood at $46.8 billion, or ~$1.88/sh., for the period ending F2Q25.

Share Repo: NVIDIA spent ~$7.2B on share repo in F2Q25 vs. $7.74B in F1Q25. NVIDIA has returned ~$21.9 billion in capital to shareholders via dividends ($542M) and share repurchases ($21.3B) over the past trailing twelve months. NVIDIA announced that its board has approved an additional $50B share repurchase authorization; total at $57B (no expiry) — with the company disclosing that it currently has $53.9 billion in share repo authorization (no expiry), and it has already spent $3.6 billion on repurchases thus far in F3Q25.

Cash; Net Cash: NVIDIA exited F2Q25 with $34.8 billion in total cash & investments; net cash at $26.3 billion (~$1.06/sh.), which compares to $21.728 billion exiting F1Q25.

NVIDIA Quarterly Results & Guide vs. Estimate Summary

$ in Millions; Expect per Share

	F2Q25 (Jul '24) - Reported vs. WFS & Street Est.				F3Q25 (Oct '24) - Guided vs. WFS & Street Est.			
	Reported	WFS Est	Street Est	NVIDIA's F2Q25 Guidance	WFS New	WFS Prior	Street Prior	NVIDIA's F3Q25 Guidance
Total Revenue	**$30,040**	**$28,328**	**$28,812**	**$28.0 billion +/- 2%**	**$32,795**	**$30,643**	**$31,887**	**$32.5 billion +/- 2%**
Gross Income	$22,729	$21,416	$21,745		$24,662	$23,044	$24,020	
- Gross Margin	75.7%	75.6%	75.5%	~75.5% +/-50bps	75.2%	75.2%	75.3%	~75.0% +/-50bps
Total Operating Expenses	$2,792	$2,804	$2,824	~$2.8 billion	$3,034	$3,003	$2,995	~$3.0 billion
- % of Revenue	9.3%	9.9%	9.8%	Implied 10% at midpoint	9.3%	9.8%	9.4%	~9% at midpoint
Operating Income	**$19,937**	**$18,612**	**$18,984**	**Implied ~$18.3 billion @ midpoint**	**$21,628**	**$20,041**	**$21,059**	**Implied ~$21.4 billion @ midpoint**
- Operating Margin	66.4%	65.7%	65.9%	Implied ~65.5% at midpoint	66.0%	65.4%	66.0%	Implied ~65.8% at midpoint
Other Income (Expense)	$380	$300	$302	Guided ~$300 million	$350	$305	$315	Guided ~$350 million
Pre-Tax Income	$20,317	$18,912	$19,247		$21,978	$20,346	$21,378	
Tax Rate	16.6%	17.0%	16.9%	Guided 16%-18%	17.0%	17.0%	16.9%	Guided 16%-18%
Net Income	**$16,952**	**$15,697**	**$16,032**		**$18,242**	**$16,887**	**$17,765**	
Non-GAAP EPS	**$0.68**	**$0.63**	**$0.65**	**Implied ~$.595-$.650/sh.**	**$0.73**	**$0.68**	**$0.72**	**Implied ~$0.70-$0.76/sh.**
Fully Diluted Shares	24,848	24,850	24,851	No guide	24,820	24,820	24,836	No guide

Source: Visible Alpha; Wells Fargo Securities, LLC Estimates

NVIDIA Segment Results Summary:

$ in Millions

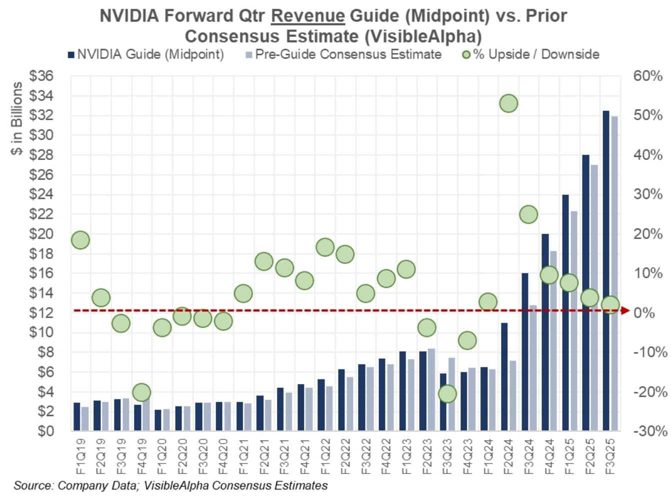
Blue = NVIDIA Disclosed Data Center (starting F4Q24)
Red = Wells Fargo Data Center Estimates

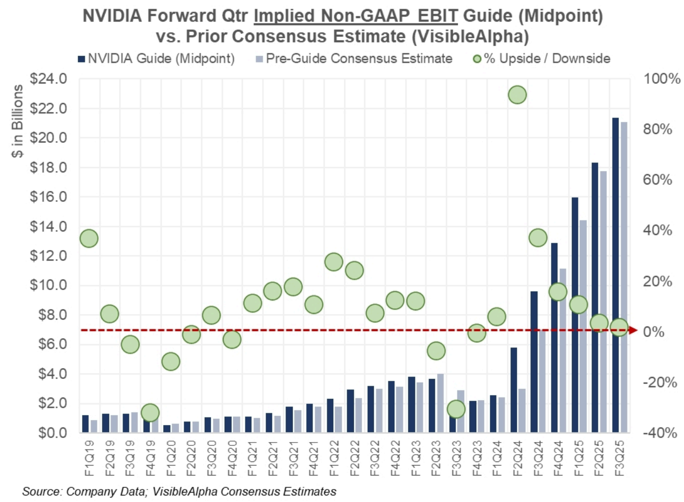
NVIDIA Product Vertical Breakdown:	F1Q22 Apr-21	F2Q22 Jul-21	F3Q22 Oct-21	F4Q22 Jan-22	F1Q23 Apr-22	F2Q23 Jul-22	F3Q23 Oct-22	F4Q23 Jan-23	F1Q24 Apr-23	F2Q24 Jul-23	F3Q24 Oct-23	F4Q24 Jan-24	F1Q25 Apr-24
Data Center: Compute	$1,464	$1,692	$2,158	$2,431	$2,995	$2,924	$2,808	$2,567	$3,357	$8,612	$11,901	$15,073	$19,392
Data Center: Networking	$584	$674	$778	$832	$755	$882	$1,025	$1,049	$927	$1,711	$2,613	$3,331	$3,171
Total Data Center	**$2,048**	**$2,366**	**$2,936**	**$3,263**	**$3,750**	**$3,806**	**$3,833**	**$3,616**	**$4,284**	**$10,323**	**$14,514**	**$18,404**	**$22,563**
Y/Y % Change	79.5%	35.0%	54.5%	71.5%	83.1%	60.9%	30.6%	10.8%	14.2%	171.2%	278.7%	409.0%	426.7%
Q/Q % Change	7.6%	15.5%	24.1%	11.1%	14.9%	1.5%	0.7%	(5.7%)	18.5%	141.0%	40.6%	26.8%	22.6%
% of Total Revenue	36.2%	36.4%	41.3%	42.7%	45.2%	56.8%	64.6%	59.8%	59.6%	76.4%	80.1%	83.3%	86.6%
Gaming (GeForce)	**$2,760**	**$3,061**	**$3,221**	**$3,420**	**$3,620**	**$2,042**	**$1,574**	**$1,831**	**$2,240**	**$2,486**	**$2,856**	**$2,865**	**$2,647**
Y/Y % Change	106.1%	85.1%	41.8%	37.1%	31.2%	(33.3%)	(51.1%)	(46.5%)	(38.1%)	21.7%	81.4%	56.5%	18.2%
Q/Q % Change	10.6%	10.9%	5.2%	6.2%	5.8%	(43.6%)	(22.9%)	16.3%	22.3%	11.0%	14.9%	0.3%	(7.6%)
% of Total Revenue	48.8%	47.0%	45.3%	44.7%	43.7%	30.5%	26.5%	30.3%	31.1%	18.4%	15.8%	13.0%	10.2%
Professional Visualization (Quadro)	**$372**	**$519**	**$577**	**$643**	**$622**	**$496**	**$200**	**$226**	**$295**	**$379**	**$416**	**$463**	**$427**
Y/Y % Change	21.2%	155.7%	144.5%	109.4%	67.2%	(4.4%)	(65.3%)	(64.9%)	(52.6%)	(23.6%)	108.0%	104.9%	44.7%
Q/Q % Change	21.2%	39.5%	11.2%	11.4%	(3.3%)	(20.3%)	(59.7%)	13.0%	30.5%	28.5%	9.8%	11.3%	(7.8%)
% of Total Revenue	6.6%	8.0%	8.1%	8.4%	7.5%	7.4%	3.4%	3.7%	4.1%	2.8%	2.3%	2.1%	1.6%
Automotive	**$154**	**$152**	**$135**	**$125**	**$138**	**$220**	**$251**	**$294**	**$296**	**$253**	**$261**	**$281**	**$329**
Y/Y % Change	(0.6%)	36.9%	8.0%	(13.8%)	(10.4%)	44.7%	85.9%	135.2%	114.5%	15.0%	4.0%	(4.4%)	11.1%
Q/Q % Change	6.2%	(1.3%)	(11.2%)	(7.4%)	10.4%	59.4%	14.1%	17.1%	0.7%	(14.5%)	3.2%	7.7%	17.1%
% of Total Revenue	2.7%	2.3%	1.9%	1.6%	1.7%	3.3%	4.2%	4.9%	4.1%	1.9%	1.4%	1.3%	1.3%
OEM & Other	**$327**	**$409**	**$234**	**$192**	**$158**	**$140**	**$73**	**$84**	**$77**	**$66**	**$73**	**$90**	**$78**
Y/Y % Change	137.0%	180.1%	20.6%	25.5%	(51.7%)	(65.8%)	(68.8%)	(56.3%)	(51.3%)	(52.9%)	0.0%	7.1%	1.3%
Q/Q % Change	113.7%	25.1%	(42.8%)	(17.9%)	(17.7%)	(11.4%)	(47.9%)	15.1%	(8.3%)	(14.3%)	10.6%	23.3%	(13.3%)
% of Total Revenue	5.8%	6.3%	3.3%	2.5%	1.9%	2.1%	1.2%	1.4%	1.1%	0.5%	0.4%	0.4%	0.3%
TOTAL REVENUE	**$5,661**	**$6,507**	**$7,103**	**$7,643**	**$8,288**	**$6,704**	**$5,931**	**$6,051**	**$7,192**	**$13,507**	**$18,120**	**$22,103**	**$26,044**
Y/Y % Change	83.8%	68.3%	50.3%	52.8%	46.4%	3.0%	(16.5%)	(20.8%)	(13.2%)	101.5%	205.5%	265.3%	262.1%
Q/Q % Change	13.2%	14.9%	9.2%	7.6%	8.4%	(19.1%)	(11.5%)	2.0%	18.9%	87.8%	34.2%	22.0%	17.8%

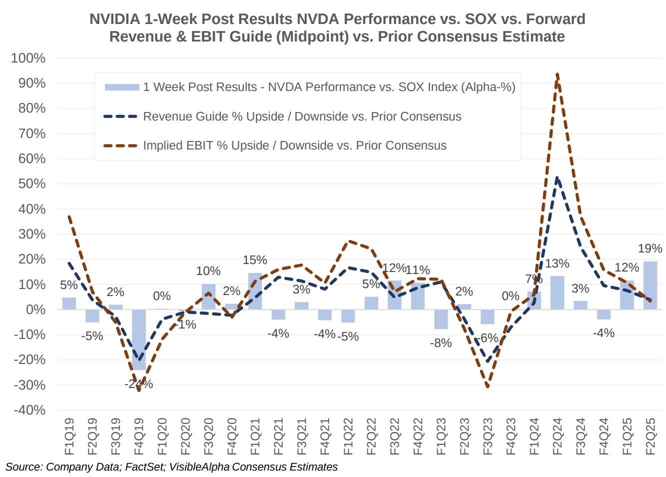
NVIDIA Product Vertical Breakdown:	F2Q25 Reported vs Estimated (July 2024)			F3Q25E New vs Prior (October 2024)			F4Q25E New vs Prior (January 2025)		
	Rptd	WF Est	Street	WF New	WF Est	Street	WF New	WF Est	Street
Data Center: Compute	$22,604	$21,200	$21,690	$24,977	$23,188	$24,404	$28,100	$26,087	$27,289
Data Center: Networking	$3,668	$3,394	$3,643	$3,961	$3,619	$4,021	$4,377	$4,071	$4,334
Total Data Center	**$26,272**	**$24,594**	**$25,165**	**$28,939**	**$26,807**	**$27,984**	**$32,477**	**$30,158**	**$31,046**
Y/Y % Change	154.5%	138.2%	143.8%	99.4%	84.7%	92.8%	76.5%	63.9%	68.7%
Q/Q % Change	16.4%	9.0%	11.5%	10.2%	9.0%	11.2%	12.2%	12.5%	10.9%
% of Total Revenue	87.5%	86.8%	87.3%	88.2%	87.5%	87.8%	89.2%	88.5%	88.9%
Gaming (GeForce)	**$2,880**	**$2,859**	**$2,783**	**$2,938**	**$2,916**	**$3,042**	**$2,938**	**$2,916**	**$2,996**
Y/Y % Change	15.8%	15.0%	12.0%	2.9%	2.1%	6.5%	2.5%	1.8%	4.6%
Q/Q % Change	8.8%	8.0%	5.2%	2.0%	2.0%	9.3%	0.0%	0.0%	(1.5%)
% of Total Revenue	9.6%	10.1%	9.7%	9.0%	9.5%	9.5%	8.1%	8.6%	8.6%
Professional Visualization (Quadro)	**$454**	**$448**	**$446**	**$465**	**$439**	**$471**	**$503**	**$475**	**$488**
Y/Y % Change	19.8%	18.3%	17.8%	11.9%	5.6%	13.2%	8.5%	2.5%	5.3%
Q/Q % Change	6.3%	5.0%	4.5%	2.5%	(2.0%)	5.5%	8.0%	8.0%	3.5%
% of Total Revenue	1.5%	1.6%	1.5%	1.4%	1.4%	1.5%	1.4%	1.4%	1.4%
Automotive	**$346**	**$345**	**$350**	**$363**	**$397**	**$379**	**$407**	**$445**	**$411**
Y/Y % Change	36.8%	36.5%	38.4%	39.2%	52.2%	45.1%	44.8%	58.3%	46.4%
Q/Q % Change	5.2%	5.0%	6.4%	5.0%	15.0%	8.2%	12.0%	12.0%	8.6%
% of Total Revenue	1.2%	1.2%	1.2%	1.1%	1.3%	1.2%	1.1%	1.3%	1.2%
OEM & Other	**$88**	**$82**	**$78**	**$90**	**$84**	**$81**	**$97**	**$90**	**$84**
Y/Y % Change	33.3%	24.1%	18.9%	23.0%	14.4%	11.0%	7.7%	0.2%	(7.0%)
Q/Q % Change	12.8%	5.0%	0.6%	2.0%	2.0%	3.3%	8.0%	8.0%	3.3%
% of Total Revenue	0.3%	0.3%	0.3%	0.3%	0.3%	0.3%	0.3%	0.3%	0.2%
TOTAL REVENUE	**$30,040**	**$28,328**	**$28,812**	**$32,795**	**$30,643**	**$31,887**	**$36,421**	**$34,084**	**$34,916**
Y/Y % Change	122.4%	109.7%	113.3%	81.0%	69.1%	76.0%	64.8%	54.2%	58.0%
Q/Q % Change	15.3%	8.8%	10.6%	9.2%	8.2%	10.7%	11.1%	11.2%	9.5%

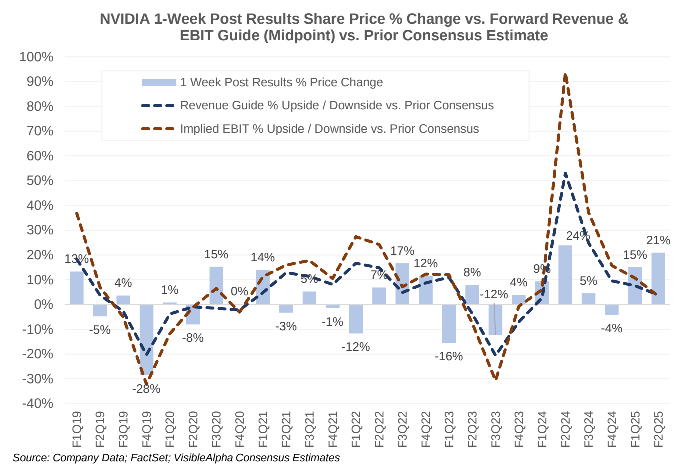
Source: Company Data; Visible Alpha; Wells Fargo Securities LLC, Estimates

***Reference*: NVIDIA Forward Quarter Guide vs. Prior Consensus.** As a reference to NVIDIA's F3Q25 guide vs. prior Street / consensus estimates, we would highlight the below charts illustrating NVIDIA's reported results & forward quarter revenue and implied non-GAAP EBIT guide vs. the pre-results consensus estimate over the past several years. Additionally, we include charts illustrating NVIDIA's post one-week share price move and relative performance vs. the SOX vs. implied revenue and non-GAAP EBIT guide vs. prior consensus over the past few years.

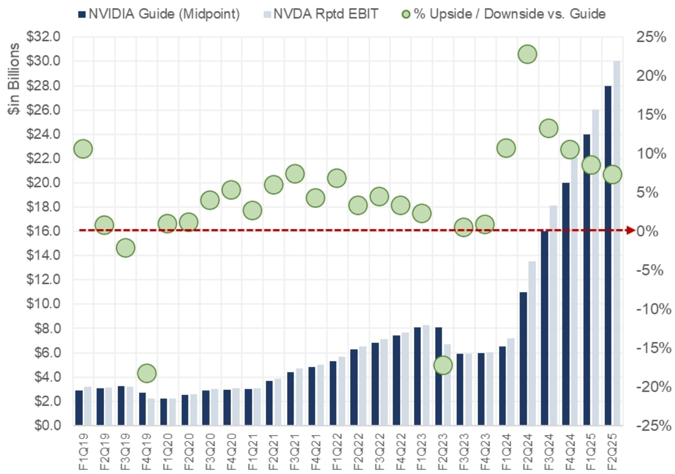






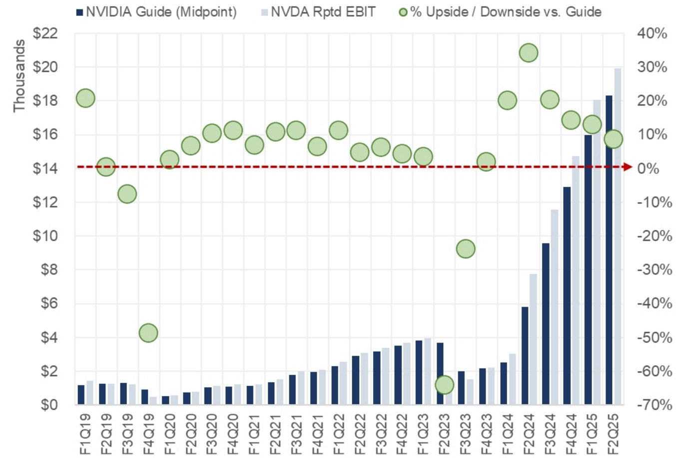


NVIDIA Reported Qtr Revenue vs. Revenue Guide (Midpoint)



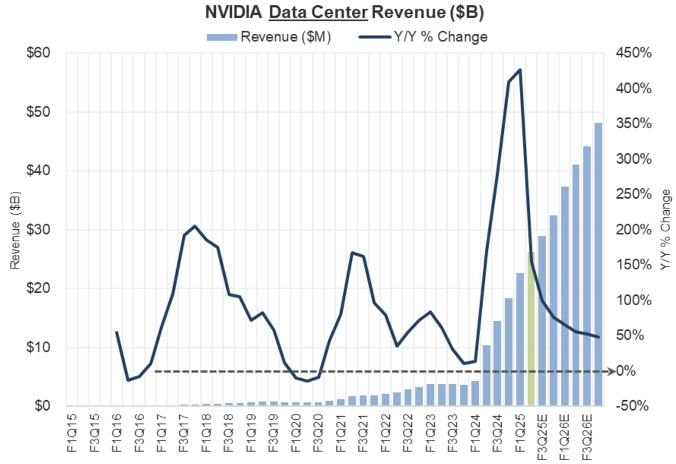
Source: Company Data; Wells Fargo Securities, LLC

NVIDIA Reported Qtr Non-GAAP EBIT vs. Implied EBIT Guide (Midpoint)



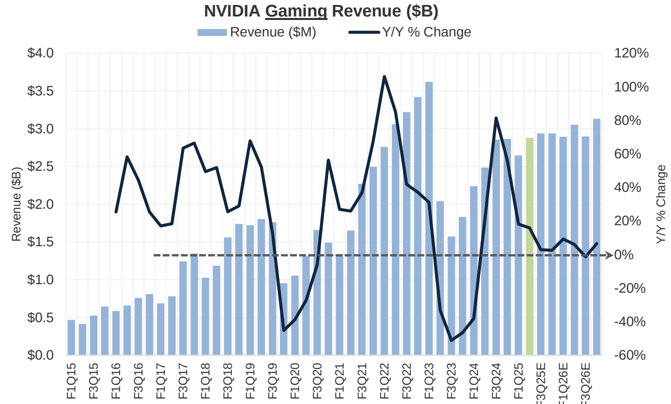
Source: Company Data; Wells Fargo Securities, LLC

NVIDIA Data Center Revenue ($B)



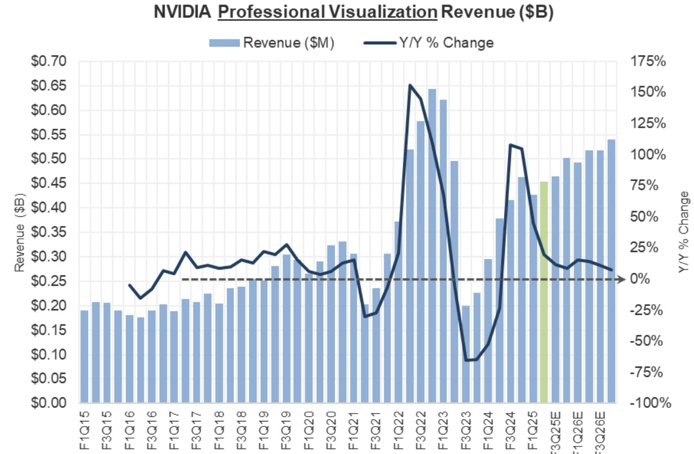
Source: Company Data; Wells Fargo Securities, LLC Estimates

NVIDIA Gaming Revenue ($B)

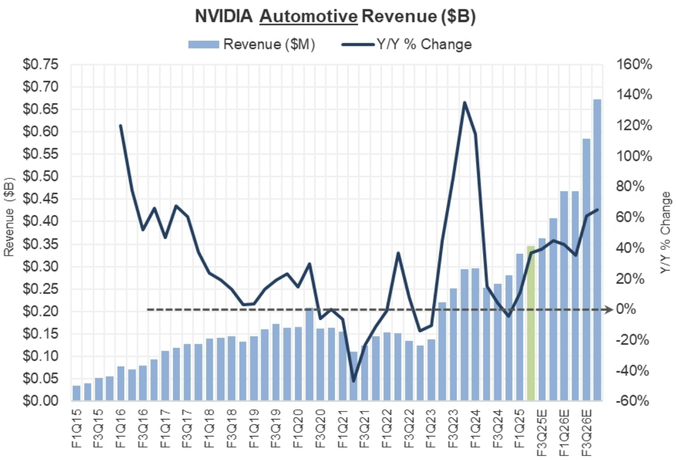


Source: Company Data; Wells Fargo Securities, LLC Estimates

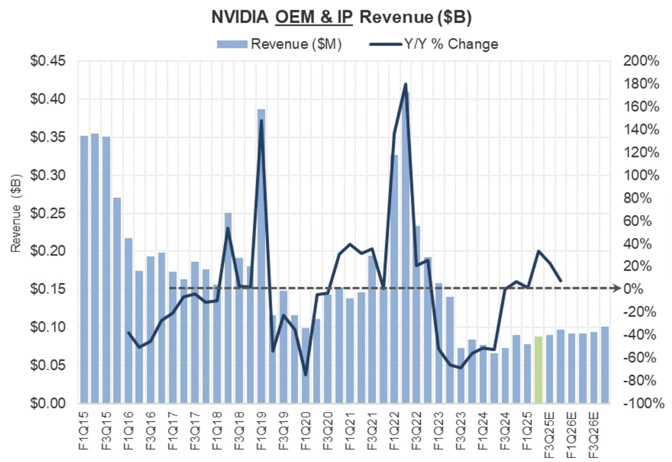
NVIDIA Professional Visualization Revenue ($B)



Source: Company Data; Wells Fargo Securities, LLC Estimates



Source: Company Data; Wells Fargo Securities, LLC Estimates



Source: Company Data; Wells Fargo Securities, LLC Estimates

NVIDIA Balance Sheet & Cash Flow Summary:

$ in Millions; Except per Share

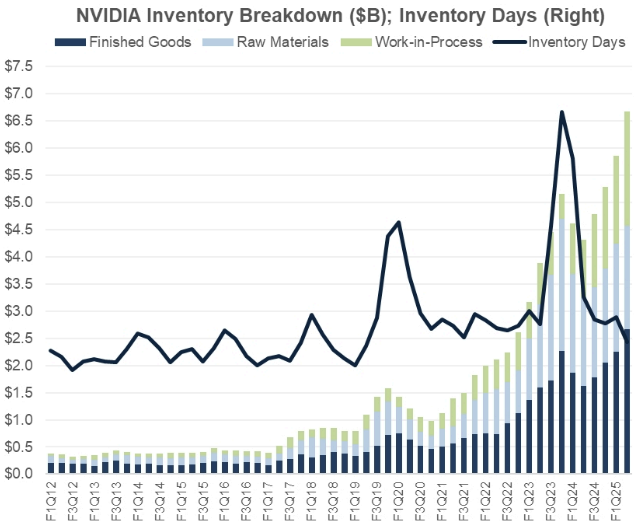
	F1Q21 Apr-20	F2Q21 Jul-20	F3Q21 Oct-20	F4Q21 Jan-21	F1Q22 Apr-21	F2Q22 Jul-21	F3Q22 Oct-21	F4Q22 Jan-22	F1Q23 Apr-22	F2Q23 Jul-22	F3Q23 Oct-22	F4Q23 Jan-23	F1Q24 Apr-23	F2Q24 Jul-23	F3Q24 Oct-23	F4Q24 Jan-24	F1Q25 Apr-24	F2Q25 Jul-24
Total Cash, Cash Equivalents & Investments	**$16,354**	**$10,981**	**$10,139**	**$11,561**	**$12,667**	**$19,654**	**$19,298**	**$21,208**	**$20,338**	**$17,037**	**$13,143**	**$13,296**	**$15,320**	**$16,023**	**$18,281**	**$25,984**	**$31,438**	**$34,800**
Less: Total Debt	$6,959	$6,960	$6,961	$6,963	$6,963	$11,943	$10,944	$10,946	$10,947	$10,949	$10,950	$10,953	$10,954	$9,705	$9,706	$9,709	$9,710	$8,461
Net Cash, Cash Equivalents & Investments	**$9,395**	**$4,021**	**$3,178**	**$4,598**	**$5,704**	**$7,711**	**$8,354**	**$10,262**	**$9,391**	**$6,088**	**$2,193**	**$2,343**	**$4,366**	**$6,318**	**$8,575**	**$16,275**	**$21,728**	**$26,339**
- Net Cash per Share	**$0.38**	**$0.16**	**$0.13**	**$0.18**	**$0.23**	**$0.30**	**$0.33**	**$0.40**	**$0.37**	**$0.24**	**$0.09**	**$0.09**	**$0.18**	**$0.25**	**$0.34**	**$0.65**	**$0.87**	**$1.06**
Total Inventory	**$1,128**	**$1,401**	**$1,495**	**$1,826**	**$1,992**	**$2,114**	**$2,233**	**$2,605**	**$3,163**	**$3,889**	**$4,454**	**$5,159**	**$4,611**	**$4,319**	**$4,779**	**$5,282**	**$5,864**	**$6,675**
Raw Materials	$341	$320	$455	$632	$734	$825	$755	$791	$1,119	$1,534	$1,936	$2,430	$1,809	$1,632	$1,663	$1,719	$1,991	$1,895
Works in Process	$287	$516	$380	$457	$504	$553	$538	$692	$672	$764	$788	$466	$930	$1,058	$1,338	$1,505	$1,625	$2,111
Finished Goods	$500	$565	$660	$737	$754	$736	$940	$1,122	$1,372	$1,588	$1,730	$2,263	$1,872	$1,629	$1,778	$2,058	$2,248	$2,669
Total Purchase Commitments	$1,760	$2,040	$2,570	$2,540	$3,460	$4,790	$6,900	$9,000	$9,590	$9,220	$7,020	$4,920	$7,270	$11,150	$17,110	$16,100	$18,800	$27,800
Prepaid Supply Agreements	$0	$0	$0	$0	$0	$0	$1,606	$1,747	$3,060	$3,140	$3,140	$3,447	$3,400	$3,810	$3,670	$4,958	$5,600	$4,700
Total Inventory + Purchase Commitments & Prepaid Supply	**$2,888**	**$3,441**	**$4,065**	**$4,366**	**$5,452**	**$6,904**	**$10,739**	**$13,352**	**$15,813**	**$16,249**	**$14,614**	**$13,526**	**$15,281**	**$19,279**	**$25,559**	**$26,340**	**$30,264**	**$39,175**
Total Non-Inventory Purchase Obligations	**$287**	**$310**	**$398**	**$317**	**$396**	**$565**	**$935**	**$1,300**	**$1,850**	**$1,364**	**$2,752**	**$3,140**	**$3,260**	**$4,310**	**$4,430**	**$4,600**	**$10,600**	**$12,000**
- Multi-Year Cloud Services Agreements	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$1,590	$2,230	$2,430	$3,500	$3,600	$3,500	$8,800	$9,800
- Implied Other Non-Inventory Purchase Obligations	$287	$310	$398	$317	$396	$565	$935	$1,300	$1,850	$1,364	$1,162	$910	$830	$810	$830	$1,100	$1,800	$2,200
Cash Conversion Cycle:	**81.1**	**77.2**	**69.8**	**77.8**	**77.1**	**75.9**	**71.8**	**76.3**	**88.5**	**106.0**	**155.9**	**219.3**	**191.6**	**106.0**	**86.6**	**81.8**	**86.6**	**78.4**
- Days Sales Outstanding	52.7	47.0	44.6	48.7	43.8	46.2	48.3	51.2	55.4	73.0	78.4	65.7	50.0	37.5	38.6	37.7	39.1	40.1
- Inventory Days	91.0	87.5	80.8	94.2	90.7	86.1	84.5	87.4	96.3	88.4	145.9	213.2	186.0	104.4	91.2	89.0	92.5	78.0
- Accounts Payables Oustanding	62.5	57.2	55.5	65.2	57.5	56.4	61.0	62.3	63.1	55.4	68.4	59.5	44.4	35.9	43.2	44.9	44.9	39.8
Total Deferred Revenue	**$241**	**$342**	**$382**	**$451**	**$506**	**$490**	**$489**	**$502**	**$537**	**$560**	**$551**	**$572**	**$597**	**$729**	**$938**	**$1,337**	**$1,549**	**$1,549**
Short-Term Deferred Revenue	$174	$222	$235	$288	$333	$301	$298	$300	$334	$359	$338	$354	$367	$421	$513	$764	$845	$845
Long-Term Deferred Revenue	$67	$120	$147	$163	$173	$189	$191	$202	$203	$201	$213	$218	$230	$308	$425	$573	$704	$704
Total Remaining Performance Obligations	**$389**	**$670**	**$679**	**$683**	**$680**	**$646**	**$620**	**$624**	**$652**	**$645**	**$681**	**$652**	**$639**	**$717**	**$896**	**$1,100**	**$1,300**	**$1,300**
Cash Flow from Operations	**$909**	**$1,566**	**$1,279**	**$2,067**	**$1,874**	**$2,682**	**$1,519**	**$3,033**	**$1,731**	**$1,270**	**$392**	**$2,249**	**$2,911**	**$6,348**	**$7,333**	**$11,499**	**$15,345**	**$14,489**
Less: Capital Expenditures	$155	$217	$473	$283	$298	$183	$221	$273	$361	$433	$530	$509	$248	$289	$278	$253	$369	$977
Free Cash Flow	**$754**	**$1,349**	**$806**	**$1,784**	**$1,576**	**$2,499**	**$1,298**	**$2,760**	**$1,370**	**$837**	**($138)**	**$1,740**	**$2,663**	**$6,059**	**$7,055**	**$11,246**	**$14,976**	**$13,512**
- Free Cash Flow per share	**$0.03**	**$0.05**	**$0.03**	**$0.07**	**$0.06**	**$0.10**	**$0.05**	**$0.11**	**$0.05**	**$0.03**	**($0.01)**	**$0.07**	**$0.11**	**$0.24**	**$0.28**	**$0.45**	**$0.60**	**$0.54**
Trailing 12-Month Free Cash Flow	**$4,435**	**$4,961**	**$4,230**	**$4,693**	**$5,515**	**$6,665**	**$7,157**	**$8,133**	**$7,927**	**$6,265**	**$4,829**	**$3,809**	**$5,102**	**$10,313**	**$17,493**	**$26,999**	**$39,312**	**$46,776**
- TTM Free Cash Flow per share	**$0.18**	**$0.20**	**$0.17**	**$0.19**	**$0.22**	**$0.26**	**$0.28**	**$0.32**	**$0.31**	**$0.25**	**$0.19**	**$0.15**	**$0.20**	**$0.41**	**$0.70**	**$1.08**	**$1.58**	**$1.88**
Share Repurchases:																		
Share Repurchase Spend	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$1,996**	**$3,345**	**$3,485**	**$1,212**	**$0**	**$3,280**	**$3,720**	**$2,660**	**$7,740**	**$7,158**
- Approx. Shares Repurchased	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	9.0	19.0	28.0	7.0	-	7.5	8.3	5.3	9.8	62.8
Remaining Share Repurchase Authorization	**$7,240**	**$7,240**	**$7,240**	**$7,240**	**$7,240**	**$7,240**	**$7,240**	**$7,240**	**$5,244**	**$11,930**	**$8,280**	**$7,230**	**$7,230**	**$3,950**	**$25,240**	**$22,500**	**$14,500**	**$57,500**

Source: Company Data; Wells Fargo Securities, LLC Estimates

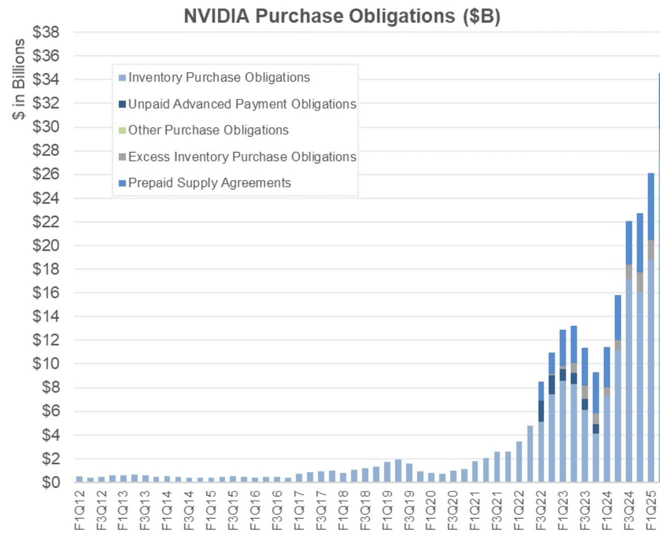
NVIDIA Inventory + Purchases Commitments Summary:

	F1Q22 Apr-21	F2Q22 Jul-21	F3Q22 Oct-21	F4Q22 Jan-22	F1Q23 Apr-22	F2Q23 Jul-22	F3Q23 Oct-22	F4Q23 Jan-23	F1Q24 Apr-23	F2Q24 Jul-23	F3Q24 Oct-23	F4Q24 Jan-24	F1Q25 Apr-24	F2Q25 Jul-24
Inventory:														
Raw Materials	$734	$825	$755	$791	$1,119	$1,534	$1,936	$2,430	$1,809	$1,632	$1,663	$1,719	$1,991	$1,895
Works in Process	$504	$553	$538	$692	$672	$764	$788	$466	$930	$1,058	$1,338	$1,505	$1,625	$2,111
Finished Goods	$754	$736	$940	$1,122	$1,372	$1,588	$1,730	$2,263	$1,872	$1,629	$1,778	$2,058	$2,248	$2,669
Total Inventory	**$1,909**	**$2,114**	**$2,233**	**$2,605**	**$3,163**	**$3,886**	**$4,454**	**$5,159**	**$4,611**	**$4,319**	**$4,779**	**$5,282**	**$5,864**	**$6,675**
Total Inventory Purchase Obligations & LT Supply Obligations	$3,460	$4,790	$6,900	$9,000	$9,590	$9,220	$7,020	$4,920	$7,270	$11,150	$17,110	$16,100	$18,800	$27,800
Prepaid Supply Agreements	n/a	n/a	$1,606	$1,747	$3,060	$3,140	$3,140	$3,447	$3,400	$3,810	$3,670	$4,958	$5,600	$4,700
Total Inventory + LT Supply Obligations + Prepaid Supply Agreements	**$3,460**	**$4,790**	**$8,506**	**$10,747**	**$12,650**	**$12,360**	**$10,160**	**$8,367**	**$10,670**	**$14,960**	**$20,780**	**$21,058**	**$24,400**	**$32,500**
Total Inventory + Purchase Obligations	**$5,369**	**$6,904**	**$10,739**	**$13,352**	**$15,813**	**$16,246**	**$14,614**	**$13,526**	**$15,281**	**$19,279**	**$25,559**	**$26,340**	**$30,264**	**$39,175**
- Forward 12-Mo. Cost of Goods Sold	*$9,756*	*$11,216*	*$11,476*	*$11,009*	*$10,674*	*$10,937*	*$12,872*	*$15,964*	*$19,058*	*$22,476*	*$26,072*	*$30,033*	*$34,755*	*$38,524*
Total Inventory + Purchae Obligations / NTM Cost of Goods Sold	**1.82x**	**1.62x**	**1.07x**	**0.82x**	**0.68x**	**0.67x**	**0.88x**	**1.18x**	**1.25x**	**1.17x**	**1.02x**	**1.14x**	**1.15x**	**0.98x**

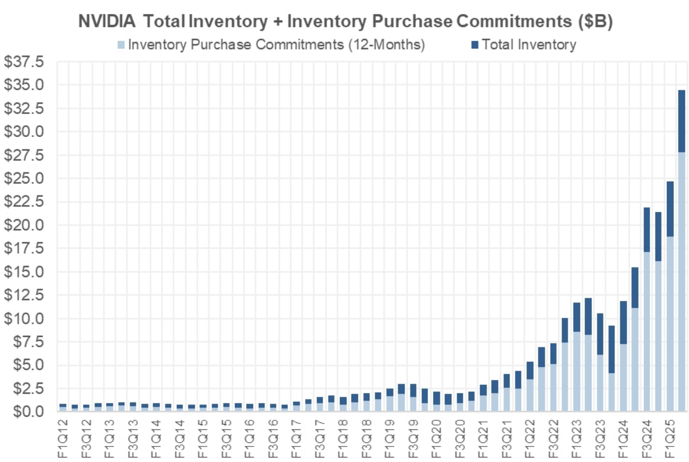
Source: Company Data; Wells Fargo Securities, LLC Estimates



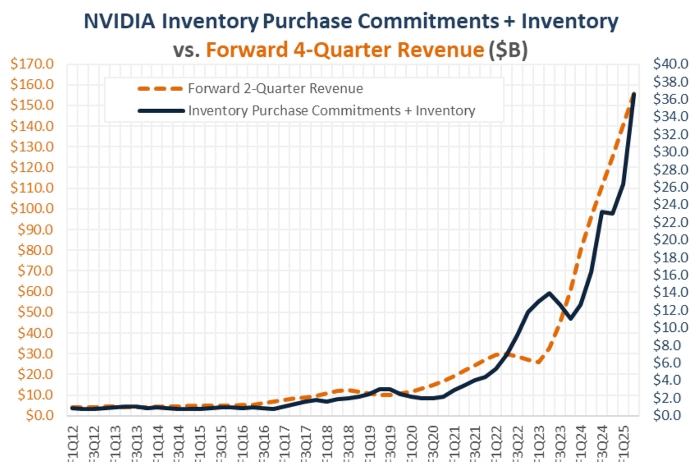
Source: Company Data; Wells Fargo Securities, LLC



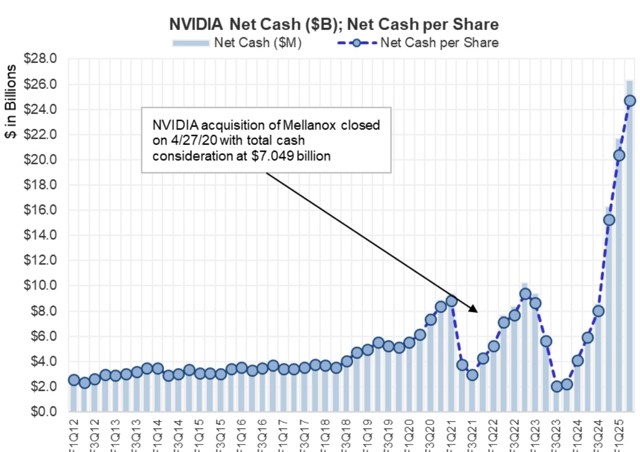
Source: Company Data; Wells Fargo Securities, LLC



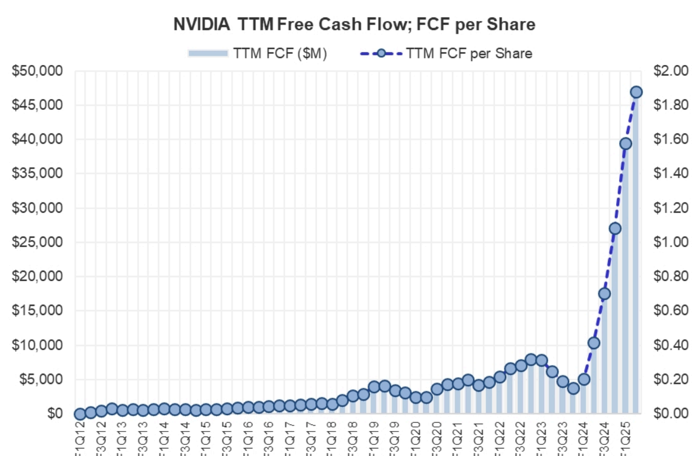
Source: Company Data; Wells Fargo Securities, LLC



Source: Company Data; Wells Fargo Securities, LLC Estimates



Source: Company Data; Wells Fargo Securities, LLC



Source: Company Data; Wells Fargo Securities, LLC

NVDA Valuation

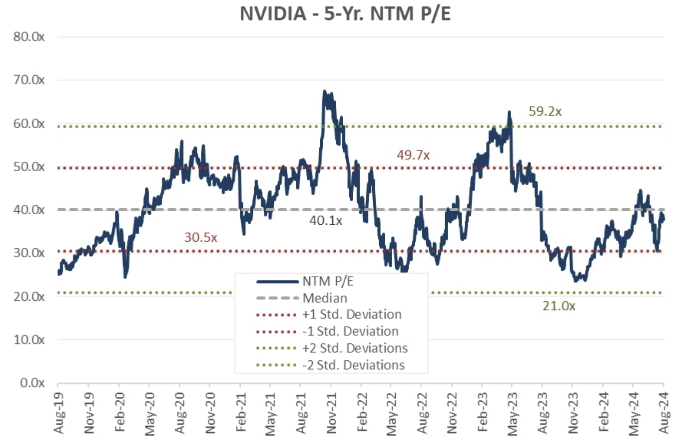
NVDA: VALUATION SUMMARY - WELLS ESTIMATES			
Price as of: 8/28/24	**$125.61**	P/E: 2024E	44.2x
52-Week Low	$39.23	P/E: 2025E	29.6x
52-Week High	$140.76	P/E: 2025E	24.9x
Market Cap ($B)	**$3,090.0**	EV/EBIT: 2024E	36.6x
Shares Outstanding	24,600	EV/EBIT: 2025E	24.6x
Ttl Cash & Investments	$34,800	EV/EBIT: 2026E	20.7x
- Less: Total Debt	$8,461	EV/Sales: 2025E	16.3x
Net Cash	$26,339	EV/Sales: 2026E	13.8x
Enterprise Value ($B)	**$3,063.7**	EV/FCF: 2024E	45.5x
- EV/share	$124.54	EV/FCF: 2025E	30.5x

Source: FactSet; Wells Fargo Securities, LLC

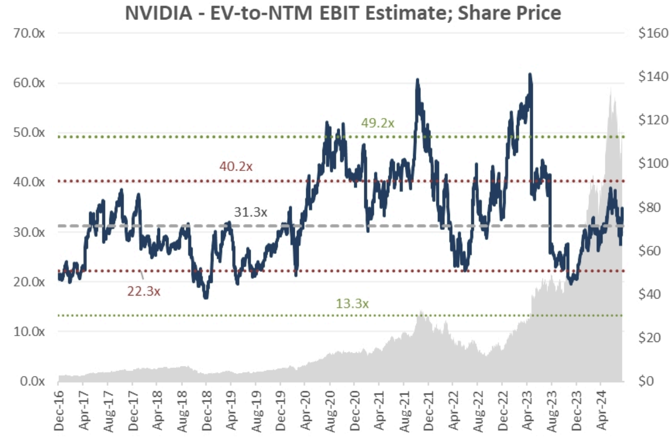
NVDA: HISTORICAL NTM P/E:	Median	Low	High
2018	36.6x	22.0x	55.4x
2019	29.9x	22.2x	43.3x
2020	46.3x	24.7x	58.7x
2021	48.2x	34.8x	70.6x
2022	39.2x	26.3x	59.0x
2023	45.9x	22.9x	68.9x
YTD	36.4x	24.0x	46.7x
5-Year	42.4x	22.9x	70.6x
3-Year	41.5x	22.9x	70.6x

NVDA: HISTORICAL NTM EV/EBIT:	Median	Low	High
2018	28.3x	16.8x	39.8x
2019	25.3x	17.0x	31.6x
2020	40.8x	21.4x	52.3x
2021	42.3x	30.6x	61.5x
2022	34.4x	22.5x	50.9x
2023	40.5x	19.8x	62.5x
YTD	30.7x	20.7x	39.3x
5-Year	36.8x	19.8x	62.5x
3-Year	35.7x	19.8x	62.5x

NVIDIA - 5-Yr. NTM P/E



NVIDIA - EV-to-NTM EBIT Estimate; Share Price



NVIDIA

Income Statement Summary

($ in Millions, Except per Share)

	F1Q24	F2Q24	F3Q24	F4Q24	F1Q25	Last Rptd F2Q25	Wells Fargo == Estimates ==> F3Q25E	F4Q25E	F1Q26E	F2Q26E	F3Q26E	F4Q26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E
	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	Apr-26	Jul-26	Oct-26	Jan-27
Revenue	**$7,192**	**$13,507**	**$18,120**	**$22,103**	**$26,044**	**$30,040**	**$32,795**	**$36,421**	**$41,317**	**$45,136**	**$48,314**	**$52,615**	**$50,175**	**$54,013**	**$56,906**	**$61,669**
Cost of Sales	$2,390	$3,893	$4,537	$5,144	$5,484	$7,311	$8,133	$9,105	$10,205	$11,081	$11,934	$12,733	$12,444	$13,341	$13,942	$14,986
Gross Margin	**$4,802**	**$9,614**	**$13,583**	**$16,959**	**$20,560**	**$22,729**	**$24,662**	**$27,316**	**$31,111**	**$34,055**	**$36,381**	**$39,882**	**$37,732**	**$40,672**	**$42,964**	**$46,683**
Operating Expenses																
Research and Development	$1,339	$1,422	$1,577	$1,747	$1,981	$2,241	$2,460	$2,713	$3,016	$3,331	$3,599	$3,841	$3,914	$4,051	$4,211	$4,440
Marketing, General & Administrative	$411	$416	$449	$463	$520	$551	$574	$619	$702	$722	$773	$816	$828	$891	$910	$956
Total Operating Expenses	**$1,750**	**$1,838**	**$2,026**	**$2,210**	**$2,501**	**$2,792**	**$3,034**	**$3,333**	**$3,718**	**$4,053**	**$4,372**	**$4,656**	**$4,742**	**$4,942**	**$5,122**	**$5,396**
Operating Income (EBIT)	**$3,052**	**$7,776**	**$11,557**	**$14,749**	**$18,059**	**$19,937**	**$21,628**	**$23,983**	**$27,393**	**$30,002**	**$32,008**	**$35,225**	**$32,990**	**$35,730**	**$37,843**	**$41,287**
EBITDA	*$3,436*	*$8,141*	*$11,929*	*$15,136*	*$18,469*	*$20,370*	*$22,116*	*$24,530*	*$27,985*	*$30,611*	*$32,629*	*$35,862*	*$33,675*	*$36,437*	*$38,568*	*$42,037*
Other Income & Expenses	$84	$120	$175	$232	$302	$380	$350	$365	$360	$370	$375	$385	$385	$390	$395	$405
Pretax Income	**$3,136**	**$7,896**	**$11,732**	**$14,981**	**$18,361**	**$20,317**	**$21,978**	**$24,348**	**$27,753**	**$30,372**	**$32,383**	**$35,610**	**$33,375**	**$36,120**	**$38,238**	**$41,692**
Taxes	$423	$1,156	$1,712	$2,142	$3,123	$3,365	$3,736	$4,139	$4,718	$5,163	$5,505	$6,054	$5,674	$6,140	$6,500	$7,088
Net Income (Non-GAAP)	**$2,713**	**$6,740**	**$10,020**	**$12,839**	**$15,238**	**$16,952**	**$18,242**	**$20,209**	**$23,035**	**$25,209**	**$26,878**	**$29,557**	**$27,702**	**$29,979**	**$31,737**	**$34,605**
EPS (Non-GAAP; Headline)	**$0.11**	**$0.27**	**$0.40**	**$0.52**	**$0.61**	**$0.68**	**$0.73**	**$0.82**	**$0.93**	**$1.02**	**$1.09**	**$1.20**	**$1.13**	**$1.22**	**$1.29**	**$1.41**
Fully Diluted Shares	*24,900.00*	*24,990.00*	*24,940.00*	*24,900.00*	*24,890.00*	*24,848.00*	*24,820.00*	*24,780.00*	*24,760.00*	*24,730.00*	*24,680.00*	*24,630.00*	*24,610.00*	*24,570.00*	*24,550.00*	*24,510.00*
Margin Summary																
Gross Margin	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	75.2%	75.0%	75.3%	75.5%	75.3%	75.8%	75.2%	75.3%	75.5%	75.7%
Operating Margin (EBIT)	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	66.0%	65.9%	66.3%	66.5%	66.3%	67.0%	65.8%	66.2%	66.5%	67.0%
-- Operating Expenses - % of Rev.	24.3%	13.6%	11.2%	10.0%	9.6%	9.3%	9.3%	9.2%	9.0%	9.0%	9.1%	8.9%	9.5%	9.2%	9.0%	8.8%
EBITDA Margin	**47.8%**	**60.3%**	**65.8%**	**68.5%**	**70.9%**	**67.8%**	**67.4%**	**67.4%**	**67.7%**	**67.8%**	**67.5%**	**68.2%**	**67.1%**	**67.5%**	**67.8%**	**68.2%**
Pretax Margin	43.6%	58.5%	64.7%	67.8%	70.5%	67.6%	67.0%	66.9%	67.2%	67.3%	67.0%	67.7%	66.5%	66.9%	67.2%	67.6%
Tax Rate	13.5%	14.6%	14.6%	14.3%	17.0%	16.6%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Net Income Margin	37.7%	49.9%	55.3%	58.1%	58.5%	56.4%	55.6%	55.5%	55.8%	55.9%	55.6%	56.2%	55.2%	55.5%	55.8%	56.1%
Yr/Yr Growth %																
Revenue	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	81.0%	64.8%	58.6%	50.3%	47.3%	44.5%	21.4%	19.7%	17.8%	17.2%
Gross Profit	-13.7%	212.8%	308.0%	324.1%	328.2%	136.4%	81.6%	61.1%	51.3%	49.8%	47.5%	46.0%	21.3%	19.4%	18.1%	17.1%
Operating Margin (EBIT)	-22.8%	486.9%	652.4%	563.2%	491.7%	156.4%	87.1%	62.6%	51.7%	50.5%	48.0%	46.9%	20.4%	19.1%	18.2%	17.2%
-- Operating Expenses	8.8%	5.1%	13.0%	24.5%	42.9%	51.9%	49.7%	50.8%	48.7%	45.2%	44.1%	39.7%	27.5%	21.9%	17.1%	15.9%
EBTIDA	-19.9%	378.0%	514.3%	471.2%	437.5%	150.2%	85.4%	62.1%	51.5%	50.3%	47.5%	46.2%	20.3%	19.0%	18.2%	17.2%
Pretax Income	-19.8%	503.2%	652.1%	560.8%	485.5%	157.3%	87.3%	62.5%	51.2%	49.5%	47.3%	46.3%	20.3%	18.9%	18.1%	17.1%
Net Income	-21.2%	421.7%	588.2%	490.6%	461.7%	151.5%	82.1%	57.4%	51.2%	48.7%	47.3%	46.3%	20.3%	18.9%	18.1%	17.1%
EPS	-19.7%	425.2%	589.6%	487.5%	461.9%	153.0%	82.9%	58.2%	52.0%	49.4%	48.2%	47.1%	21.0%	19.7%	18.7%	17.7%
Seq. Growth %																
Revenue	18.9%	87.8%	34.2%	22.0%	17.8%	15.3%	9.2%	11.1%	13.4%	9.2%	7.0%	8.9%	-4.6%	7.6%	5.4%	8.4%
Gross Profit	20.1%	100.2%	41.3%	24.9%	21.2%	10.5%	8.5%	10.8%	13.9%	9.5%	6.8%	9.6%	-5.4%	7.8%	5.6%	8.7%
Operating Margin (EBIT)	37.2%	154.8%	48.6%	27.6%	22.4%	10.4%	8.5%	10.9%	14.2%	9.5%	6.7%	10.1%	-6.3%	8.3%	5.9%	9.1%
-- Operating Expenses	-1.4%	5.0%	10.2%	9.1%	13.2%	11.6%	8.7%	9.9%	11.6%	9.0%	7.9%	6.5%	1.8%	4.2%	3.6%	5.4%
EBTIDA	29.7%	136.9%	46.5%	26.9%	22.0%	10.3%	8.6%	10.9%	14.1%	9.4%	6.6%	9.9%	-6.1%	8.2%	5.8%	9.0%
Pretax Income	38.3%	151.8%	48.6%	27.7%	22.6%	10.7%	8.2%	10.8%	14.0%	9.4%	6.6%	10.0%	-6.3%	8.2%	5.9%	9.0%
Net Income	24.8%	148.4%	48.7%	28.1%	18.7%	11.2%	7.6%	10.8%	14.0%	9.4%	6.6%	10.0%	-6.3%	8.2%	5.9%	9.0%
EPS	24.1%	147.5%	49.0%	28.3%	18.7%	11.4%	7.7%	11.0%	14.1%	9.6%	6.8%	10.2%	-6.2%	8.4%	5.9%	9.2%

			Fiscal Years		
	F2023	F2024	F2025E	F2026E	F2027E
	Jan-23	Jan-24	Jan-25	Jan-26	Jan-27
Revenue	**$26,974**	**$60,922**	**$125,300**	**$187,382**	**$222,764**
Cost of Sales	$11,009	$15,964	$30,033	$45,952	$54,712
Gross Margin	**$15,965**	**$44,958**	**$95,266**	**$141,429**	**$168,051**
Research and Development	$5,390	$6,085	$9,395	$13,787	$16,616
Marketing, General & Administrative	$1,535	$1,739	$2,264	$3,013	$3,585
Total Operating Expenses	**$6,925**	**$7,824**	**$11,659**	**$16,801**	**$20,201**
Operating Income (EBIT)	**$9,040**	**$37,134**	**$83,607**	**$124,629**	**$147,850**
EBITDA	*$10,584*	*$38,642*	*$85,485*	*$127,087*	*$150,716*
Other Income & Expenses	$6	$611	$1,397	$1,490	$1,575
Pretax Income	**$9,046**	**$37,745**	**$85,004**	**$126,119**	**$149,425**
Taxes	$681	$5,433	$14,363	$21,440	$25,402
Net Income (Non-GAAP)	**$8,365**	**$32,312**	**$70,641**	**$104,678**	**$124,023**
EPS (Non-GAAP; Headline)	**$0.33**	**$1.30**	**$2.84**	**$4.24**	**$5.05**
Fully Diluted Shares	*25,072.50*	*24,932.50*	*24,834.50*	*24,700.00*	*24,560.00*
Margin Summary					
Gross Margin	59.2%	73.8%	76.0%	75.5%	75.4%
Operating Margin (EBIT)	33.5%	61.0%	66.7%	66.5%	66.4%
-- Operating Expenses - % of Rev.	25.7%	12.8%	9.3%	9.0%	9.1%
EBITDA Margin	**39.2%**	**63.4%**	**68.2%**	**67.8%**	**67.7%**
Pretax Margin	33.5%	62.0%	67.8%	67.3%	67.1%
Tax Rate	7.5%	14.4%	16.9%	17.0%	17.0%
Net Income Margin	31.0%	53.0%	56.4%	55.9%	55.7%
Yr/Yr Growth %					
Revenue	0.2%	125.9%	105.7%	49.5%	18.9%
Gross Profit	-11.1%	181.6%	111.9%	48.5%	18.8%
Operating Margin (EBIT)	-28.8%	310.8%	125.2%	49.1%	18.6%
-- Operating Expenses	31.2%	13.0%	49.0%	44.1%	20.2%
EBTIDA	-23.7%	265.1%	121.2%	48.7%	18.6%
Pretax Income	-27.6%	317.3%	125.2%	48.4%	18.5%
Net Income	-25.7%	286.3%	118.6%	48.2%	18.5%
EPS	-25.0%	289.1%	119.5%	49.0%	19.1%

Source: Company Data, Wells Fargo Securities, LLC Estimates

Investment Thesis, Valuation and Risks

Nvidia Corporation (NVDA)

Investment Thesis

Our Overweight rating is based on our positive stance on NVIDIA's competitive positioning in gaming GPUs and expanding growth opportunities in data center, HPC, and emerging / expanding AI opportunities (autonomous vehicles, healthcare, robotics, etc.). We see sustainability in NVIDIA's CUDA software platform differentiation, as well as the company's continually deepening system software capabilities. We see NVIDIA as one of the most attractive secular growth stories in large-cap semis.

Target Price Valuation for NVDA: $165.00 from $155.00

Our $165 price target is ~33x P/E on our C2026E. We think a premium multiple for NVIDIA is warranted given its strong multi-year competitive positioning for data center growth, driven by cloud and AI, gaming, next-generation autonomous vehicles, and an expanding ecosystem of products/applications (e.g., Omniverse).

Risks to Our Price Target and Rating for NVDA

Risks include: (1) increased competition in the PC gaming, cloud data center markets, and high-performance computing, (2) the continued development of new markets, including artificial intelligence/machine learning and autonomous driving, (3) delays in product introduction due to use of third-party process technology, component availability, etc.

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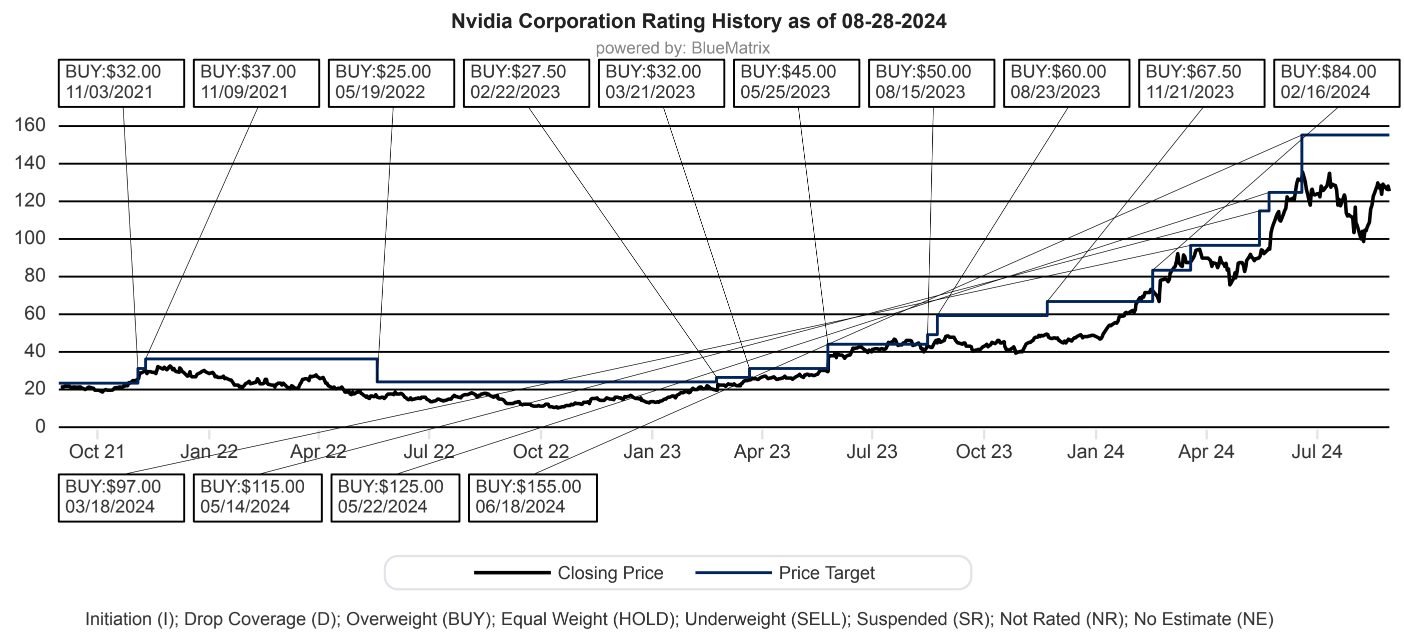

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